

INTER IKEA GROUP

FINANCIAL STATEMENT ANALYSIS

FY23-FY25

INDEPENDENT PORTFOLIO REPORT

Prepared by	Neha R K
Reporting period	FY23 to FY25
Reporting currency	EUR millions, unless otherwise stated
Primary tool	Microsoft Excel
Report date	28 July 2026

Scope

This report evaluates the consolidated financial performance and position of Inter IKEA Holding B.V. and its subsidiaries. It does not represent total IKEA retail sales generated by all independent franchisees.

Based on the official audited annual reports for FY23, FY24 and FY25

1. Executive Summary

Inter IKEA Group entered FY25 with a strong balance sheet but weaker earnings momentum and materially lower cash conversion. The affordability strategy - implemented through substantial wholesale price reductions in FY24 and maintained in FY25 - supported higher sales volumes, but reported revenue remained below FY23 and operating profitability compressed in FY25. The group retained ample liquidity and low leverage, which provides capacity to absorb investment and supply-chain volatility; however, the FY25 combination of inventory rebuilding, higher capital expenditure and a large dividend reduced cash by EUR 1.2 billion.

FY25 NET TURNOVER	FY25 OPERATING RESULT	FY25 NET PROFIT	FY25 CURRENT RATIO	FY25 ROE	FY25 OPERATING CF
EUR 26,183m	EUR 1,725m	EUR 1,496m	3.56x	7.95%	EUR 1,247m
-10.05% vs FY23	-23.20% vs FY23	-8.73% vs FY23	+51.49% vs FY23	-13.85% vs FY23	-62.11% vs FY23

Investment-style analytical view

Earnings: FY24 represented the high point of the period. FY25 operating result fell 26.25% year over year as revenue remained broadly flat, raw-material costs rose with higher volumes, and personnel and depreciation costs increased.

Balance sheet: Equity financed 85.07% of total assets at FY25, while debt-to-equity remained low at 0.18x.

Current and quick ratios of 3.56x and 1.99x indicate strong short-term coverage.

Cash generation: FY25 operating cash flow fell 71.01% year over year to EUR 1,247m, principally reflecting a EUR 788m adverse working-capital movement as inventory was rebuilt.

Capital allocation: A free-cash-flow proxy of EUR 570m was below the EUR 1,800m dividend. The gap, together with investing activity, contributed to the EUR 1,227m reduction in year-end cash.

Overall conclusion: Financial resilience remains high, but the immediate analytical focus should be on operating-margin recovery, working-capital discipline and the sustainability of cash returns to the shareholder.

Analyst conclusion

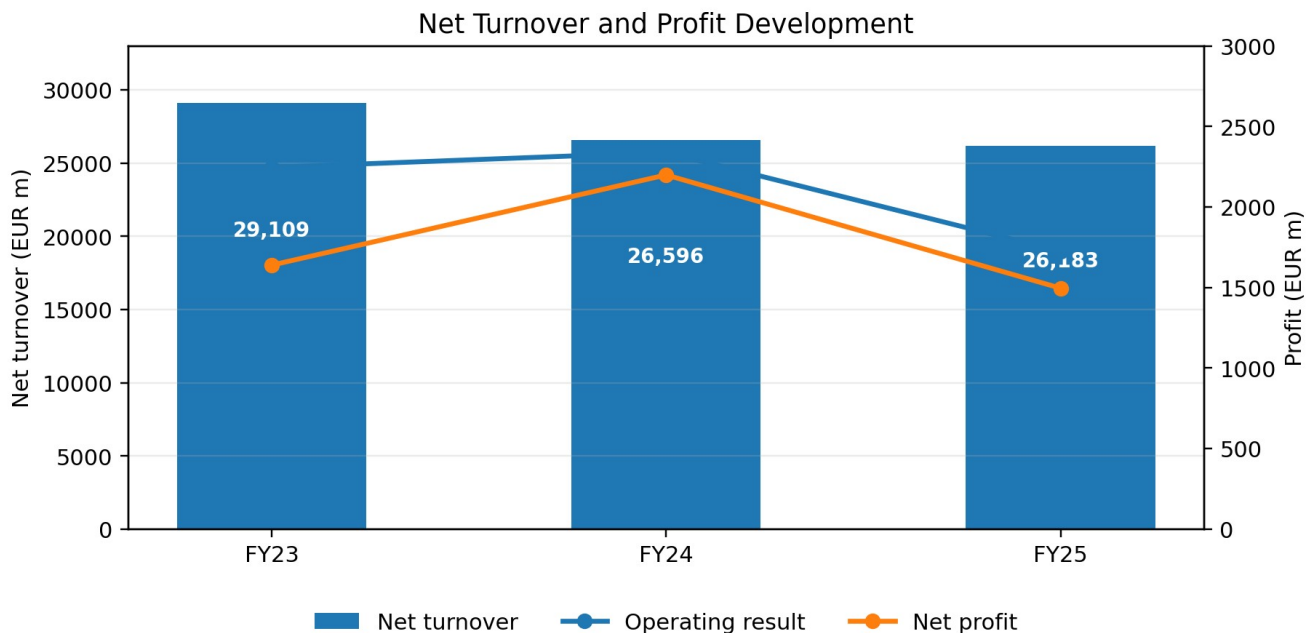
The central issue is not solvency; it is earnings quality and cash conversion. Inter IKEA Group has a conservative capital structure, but FY25 shows that volume growth and accounting profit did not translate proportionately into operating cash flow.

2. Revenue and Earnings Performance

Net turnover declined from EUR 29,109m in FY23 to EUR 26,183m in FY25, a cumulative reduction of 10.05% and an implied two-year compound decline of approximately 5.16% per year. The largest reduction occurred in FY24, when management substantially lowered wholesale prices to IKEA retailers to improve affordability. The annual report states that the average global price reduction was approximately 10%, with a full-year effect of 15%. In FY25, the price reductions continued to affect revenue while sales volumes increased; consequently, net turnover decreased by only 1.55% year over year.

EUR m	FY23	FY24	FY25	FY25 vs FY24
Net turnover	29,109	26,596	26,183	-1.55%
Total operating income	29,063	26,538	26,306	-0.87%
Cost of raw materials	(23,824)	(21,048)	(21,328)	+1.33%
Operating result	2,246	2,339	1,725	-26.25%
Net financial result	(300)	326	227	-30.37%
Result before tax	1,946	2,665	1,952	-26.75%
Income tax	(307)	(466)	(415)	-10.94%
Share of result from participating interests	-	-	(41)	N/M
Net profit	1,639	2,199	1,496	-31.97%

Source: Inter IKEA Holding B.V. Annual Reports FY23-FY25; author calculations.



Source: Inter IKEA Holding B.V. Annual Reports FY23-FY25; author calculations.

Drivers of the FY25 decline

Cost pressure: Raw-material and consumable costs increased 1.33% in FY25 after falling 11.65% in FY24.

Management linked FY25 volatility to commodity-market uncertainty and tariffs, while higher sales volumes increased total product costs.

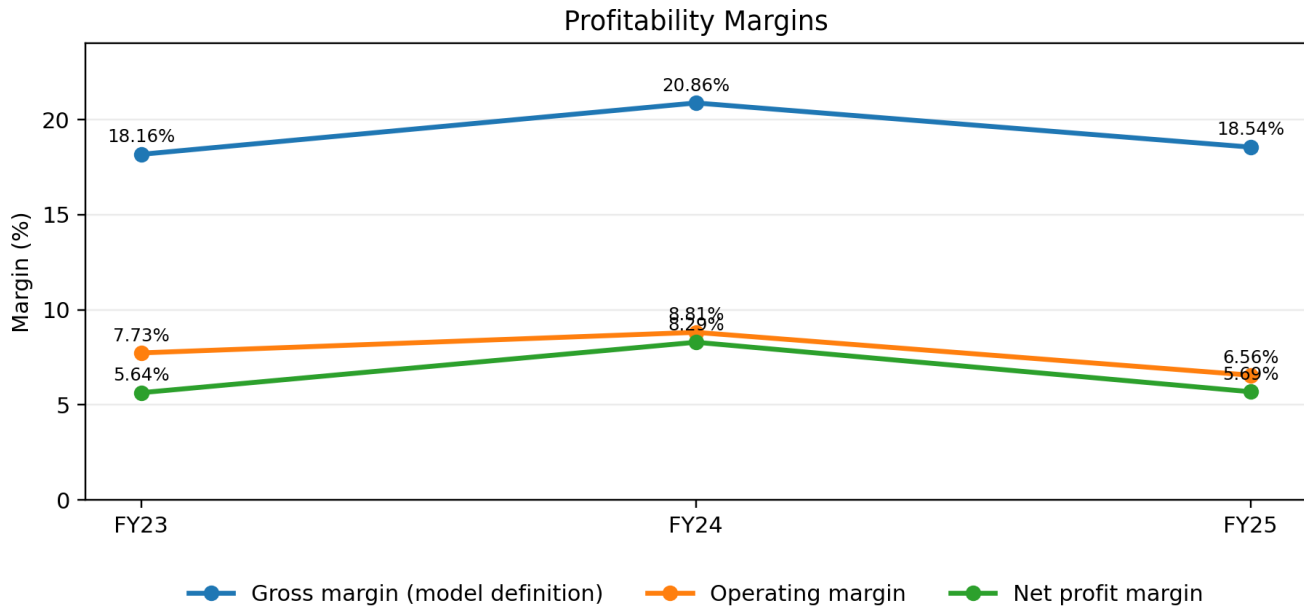
Operating cost growth: Personnel expense rose 12.52% to EUR 1,474m and depreciation and amortisation increased 10.39% to EUR 510m. Average FTE increased from 23,892 to 25,971, primarily because of the IKEA Baltics acquisition.

Lower financial income: Net financial income remained positive at EUR 227m but decreased from EUR 326m in FY24 as lower interest rates reduced income earned on cash balances.

Higher tax burden and associates: The effective tax rate increased to 21.3% from 17.5%. FY25 also included a EUR 41m share of losses/results from participating interests, which explains why reported net profit is below result before tax less income tax.

3. Profitability and Earnings Quality

Profitability improved in FY24 because the decline in raw-material and transportation costs exceeded the decline in revenue, while the net financial result moved from an expense of EUR 300m to income of EUR 326m. This combination lifted net profit to EUR 2,199m. In FY25, the benefit reversed: operating result declined, net financial income moderated and the effective tax rate increased.



Source: Inter IKEA Holding B.V. Annual Reports FY23-FY25; ratios calculated from the standardized model. Gross margin follows the model definition described below.

Metric	FY23	FY24	FY25	Interpretation
Gross margin - model definition	18.16%	20.86%	18.54%	FY24 benefit largely reversed in FY25
Operating margin	7.73%	8.81%	6.56%	FY25 below both prior years
Net profit margin	5.64%	8.29%	5.69%	FY25 close to FY23 despite weaker operating result
Effective tax rate	15.8%	17.5%	21.3%	Increasing burden across the period
Cash conversion ratio	2.01x	1.96x	0.83x	FY25 operating cash flow below net profit

Interpretation

The FY25 operating margin of 6.56% was 225 basis points below FY24 and 117 basis points below FY23. This is the clearest indication of pressure in the core business. Net profit margin was comparatively stable versus FY23 because the FY25 net financial result remained positive, whereas FY23 included a net financial expense of EUR

300m. Therefore, FY25 net profit should not be interpreted as evidence that underlying operating profitability was stable.

The cash conversion ratio declined to 0.83x, compared with approximately 2.0x in FY23 and FY24. A ratio below 1.0x means operating cash flow was lower than reported net profit. In FY25 this was driven primarily by the inventory build and the resulting adverse working-capital movement, rather than by a deterioration in reported receivables.

Definition note

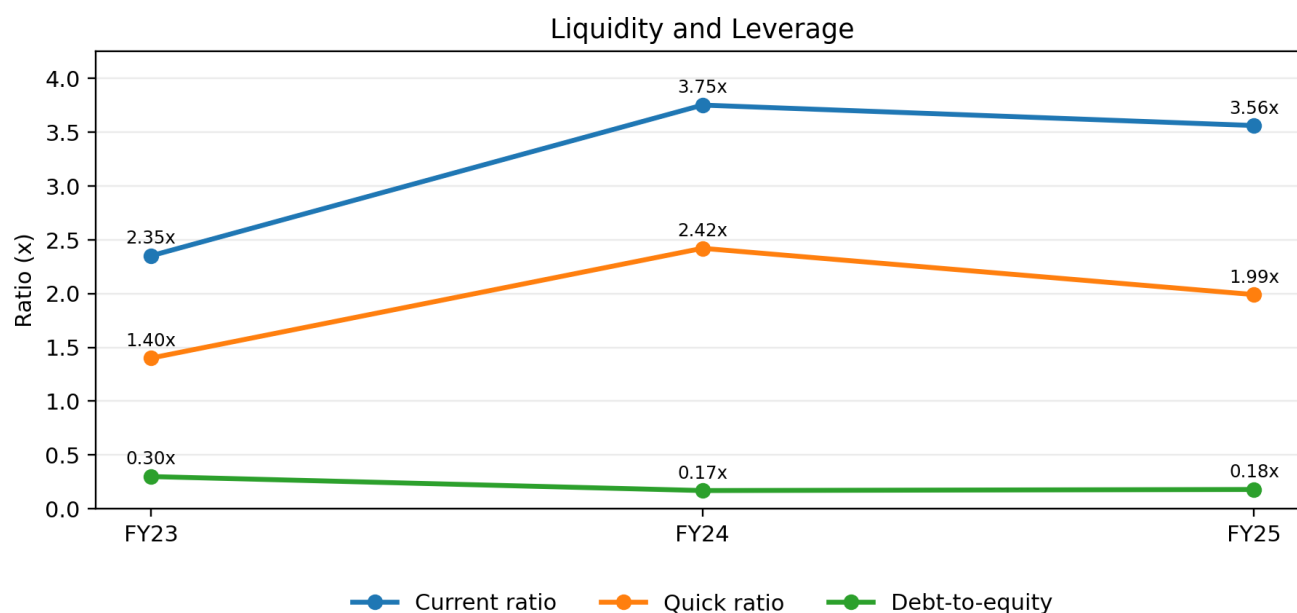
The workbook gross-margin calculation is an analytical measure: (net turnover less cost of raw materials and consumables) divided by net turnover. It is not identical to a conventional audited gross margin because it does not incorporate every cost classification and uses net turnover rather than total operating income.

4. Financial Position, Liquidity and Solvency

Total assets declined modestly from EUR 23,001m in FY23 to EUR 22,117m in FY25, while equity increased by EUR 1,057m to EUR 18,815m. Total liabilities fell by EUR 1,941m, or 37.02%, over the period. The resulting capital structure is conservative: the equity ratio was 85.07% and debt-to-equity was 0.18x in FY25.

EUR m	FY23	FY24	FY25	FY23-FY25 change
Total non-current assets	11,173	10,918	11,136	-0.33%
Inventory	4,772	4,108	4,832	+1.26%
Trade and other receivables	6,887	3,282	3,212	-53.36%
Cash and cash equivalents	169	4,164	2,937	+1,637.87%
Total current assets	11,828	11,554	10,981	-7.16%
Total assets	23,001	22,472	22,117	-3.84%
Equity	17,758	19,212	18,815	+5.95%
Total liabilities	5,243	3,260	3,302	-37.02%
Net working capital	6,789	8,472	7,893	+16.26%

Source: Inter IKEA Holding B.V. Annual Reports FY23-FY25; net working capital calculated as current assets less current liabilities.



Source: Inter IKEA Holding B.V. Annual Reports FY23-FY25; author calculations.

Balance-sheet movements

Inventory: Inventory fell 13.91% in FY24 following corrective measures and working-capital discipline, then increased 17.62% to EUR 4,832m in FY25 as the group rebuilt availability after transport constraints.

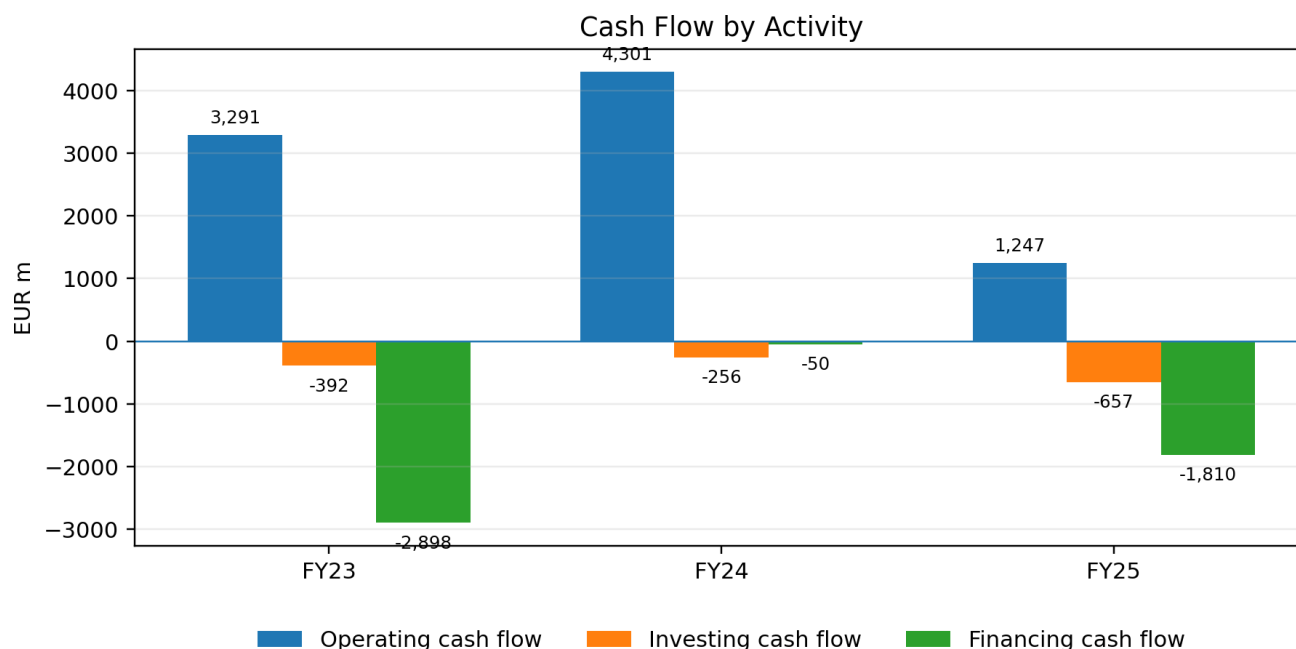
Receivables: Receivables decreased by EUR 3,605m in FY24, largely because accounts with Interogo Holding AG were settled following the ownership and treasury restructuring. This structural movement materially improved reported liquidity and cash.

Cash: Cash increased to EUR 4,164m in FY24, then declined 29.47% to EUR 2,937m in FY25. Despite the decline, cash remained materially above FY23.

Solvency: Non-current liabilities were only EUR 72m in FY25. The high equity base and low leverage significantly reduce refinancing and balance-sheet risk.

5. Cash Flow and Capital Allocation

Cash flow is the most important area of deterioration in FY25. Operating cash flow decreased from EUR 4,301m to EUR 1,247m. The cash-flow statement shows that working capital changed from a EUR 1,715m source of cash in FY24 to a EUR 788m use of cash in FY25, a negative swing of EUR 2,503m. Management explicitly attributes the FY25 adverse movement to inventory rebuilding.



Source: Inter IKEA Holding B.V. Annual Reports FY23-FY25; author calculations.

EUR m / ratio	FY23	FY24	FY25
Operating cash flow	3,291	4,301	1,247
Capital expenditure	(347)	(247)	(677)
Free-cash-flow proxy	2,944	4,054	570
Investing cash flow	(392)	(256)	(657)
Financing cash flow	(2,898)	(50)	(1,810)
Dividends paid	(1,850)	(1,000)	(1,800)
Operating cash flow / dividends	1.78x	4.30x	0.69x
Net cash flow	1	3,995	(1,220)
Cash at year-end	169	4,164	2,937

Free-cash-flow proxy equals operating cash flow less capital expenditure. It is an analytical measure, not a company-reported subtotal.

Capital-allocation assessment

FY25 capital expenditure rose to EUR 677m, consisting of EUR 295m invested in intangible assets and EUR 382m in tangible assets. This was 174.09% above FY24 and represented 2.59% of net turnover. The increase is consistent with investment in digital capabilities, production assets, land and the integration of acquired operations.

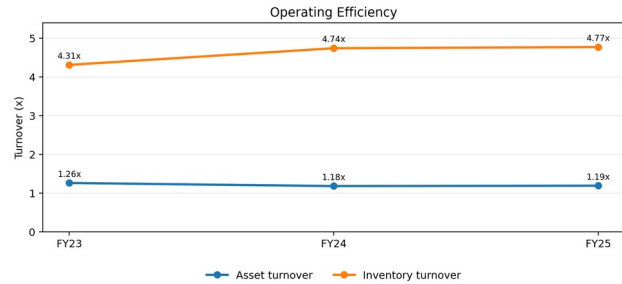
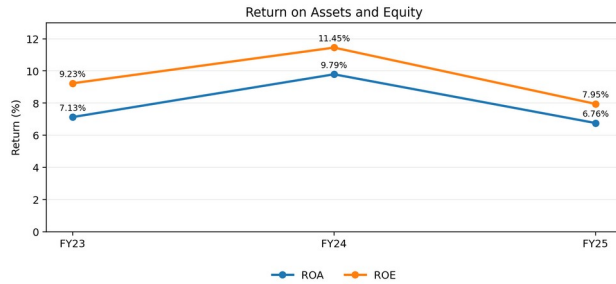
The FY25 dividend of EUR 1,800m exceeded both the EUR 1,247m operating cash flow and the EUR 570m free-cash-flow proxy. Operating cash flow covered only 0.69x of the dividend. This does not create an immediate liquidity concern because the group began FY25 with EUR 4,164m of cash, but continued distributions at this level would require stronger cash generation or further use of accumulated liquidity.

Cash-flow watchpoint

The FY25 cash reduction was not caused by debt stress. It reflected the combined effect of inventory investment, higher capital expenditure and shareholder distributions.

6. Returns and Operating Efficiency

Returns peaked in FY24 and declined in FY25. ROA fell to 6.76% and ROE to 7.95%, both below FY23. The decline is consistent with weaker operating profit and net profit, while the balance sheet remained relatively stable.



Source: Inter IKEA Holding B.V. Annual Reports FY23-FY25; author calculations.

Ratio	FY23	FY24	FY25	FY23-FY25 change
ROA	7.13%	9.79%	6.76%	-5.08%
ROE	9.23%	11.45%	7.95%	-13.85%
Asset turnover	1.26x	1.18x	1.19x	-5.87%
Inventory turnover	4.31x	4.74x	4.77x	+10.81%

Analytical interpretation

ROA and ROE: The FY25 decline reflects lower earnings rather than a material increase in the asset or equity base. The high equity ratio limits financial leverage and therefore constrains any leverage-driven uplift in ROE, but it also reduces risk.

Asset turnover: Asset turnover remained close to 1.2x but below FY23 because operating income declined faster than total assets.

Inventory turnover: Inventory turnover improved from 4.31x to 4.77x over the three years. The measure still improved in FY25 because the calculation uses average inventory and cost of raw materials increased with volume; however, the year-end inventory build reduced cash flow.

Earnings versus cash: The deterioration in the cash conversion ratio is more concerning than the modest movement in asset turnover because it directly affects funding capacity for investment and dividends.

7. Risk Assessment and Outlook

Key financial strengths

Strong liquidity: Current ratio of 3.56x, quick ratio of 1.99x and EUR 2,937m of cash at FY25.

Low leverage: Debt-to-equity of 0.18x and equity funding of 85.07% of assets.

Positive profitability: The group remained profitable in every year reviewed, with FY25 net profit of EUR 1,496m.

Improving inventory turnover: The three-year ratio trend was positive despite FY25 inventory rebuilding.

Internal funding capacity: Management states that ongoing investments are expected to be financed from the group's own funds.

Principal analytical risks

Risk	Why it matters	Indicator to monitor
Margin compression	FY25 operating margin fell to 6.56% amid input-cost and operating-cost pressure.	Operating margin; cost per product; personnel cost
Working-capital volatility	The EUR 788m FY25 working-capital outflow materially reduced operating cash flow.	Inventory; working-capital movement; cash conversion
Price-volume trade-off	Affordability-driven wholesale price cuts support volume but reduce reported revenue and margin.	Net turnover growth; unit volumes; gross-margin measure
Dividend sustainability	FY25 operating cash flow covered only 0.69x of dividends paid.	Free cash flow; dividend coverage; year-end cash
Supply-chain and trade exposure	Tariffs, transport constraints and commodity volatility can affect cost and availability.	Raw-material costs; logistics costs; inventory days
Integration and investment execution	IKEA Baltics, forest assets and digital programs increase execution requirements.	Capital expenditure; operating expenses; return on investment
Tax and regulatory matters	The FY25 annual report disclosed an ongoing EU state-aid investigation; management considered cash outflow unlikely.	Effective tax rate; contingent disclosures

Management outlook for FY26

In the FY25 annual report, management states that the group intends to maintain current wholesale price levels to support stability and affordability. Moderate growth in revenues and volumes is anticipated for FY26, and the group expects to remain profitable. Continued development investment is expected across Retail Concept, Range and Supply, financed from internal funds. This is management guidance, not an independent forecast.

Analyst priorities for the next reporting period

Evidence of operating-margin recovery, normalization of inventory and working capital, operating cash flow above net profit, and dividend coverage from internally generated cash would strengthen the financial profile.

APPENDIX

Methodology, Limitations and Source Documentation

8. Methodology, Limitations and Sources

Analytical methodology

The analysis uses the audited consolidated financial statements of Inter IKEA Holding B.V. for FY23, FY24 and FY25. Reported figures were transcribed into an Excel model, standardized across periods, and used to calculate ratios and trends. Monetary figures are in EUR millions. Parentheses indicate negative values or cash outflows.

Ratio	Formula / convention
Gross margin - model definition	(Net turnover - cost of raw materials and consumables) / net turnover
Operating margin	Operating result / total operating income
Net profit margin	Net profit / total operating income
Current ratio	Total current assets / current liabilities
Quick ratio	(Total current assets - inventory) / current liabilities
Debt-to-equity	Total liabilities / equity
Equity ratio	Equity / total assets
ROA	Net profit / year-end total assets
ROE	Net profit / year-end equity
Asset turnover	Total operating income / year-end total assets
Inventory turnover	Cost of raw materials / average inventory; FY23 uses FY22 inventory of EUR 6,294m
Cash conversion ratio	Operating cash flow / net profit
Free-cash-flow proxy	Operating cash flow - capital expenditure

Limitations

The analysis covers three financial years and does not represent a full economic cycle.

The group operates within a franchise system; Inter IKEA Group financial results are not equivalent to total IKEA retail sales generated by independent franchisees.

The analysis uses public consolidated information and does not include budgets, forecasts, internal management accounts or detailed segment profitability.

ROA, ROE and asset turnover use year-end balances to remain consistent with the workbook. Alternative calculations using average balances may differ.

The model-defined gross margin is an analytical ratio and is not identical to a conventional audited gross-profit margin.

The report is not an audit, valuation, investment recommendation, credit rating, tax opinion or accounting advice.

Primary sources

Inter IKEA Holding B.V. Annual Report FY23

https://www.inter.ikea.com/-/media/interikea/igi/financial-reports/inter-ikea-holding-bv-annual-report-fy23-final.pdf?sc_lang=en

Management report pp. 4-6; financial statements pp. 14-16; operating income note p. 42.

Inter IKEA Holding B.V. Annual Report FY24

<https://www.inter.ikea.com/-/media/interikea/igi/financial-reports/fy24-financial-reports/inter-ikea-holding-bv-annual-report-fy24.pdf>

Management report pp. 4-6; financial statements pp. 14-16; operating income note p. 43.

Inter IKEA Holding B.V. Annual Report FY25

<https://www.inter.ikea.com/-/media/interikea/igi/financial-reports/fy25-financial-reports/inter-ikea-holding-bv-annual-report-fy25-final.pdf>

Management report pp. 5-6; outlook p. 12; financial statements pp. 14-16; operating income note p. 44.

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<https://www.inter.ikea.com/en/performance/download-financial-reports>

Official archive and financial-year definition.

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